

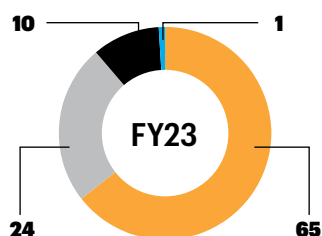
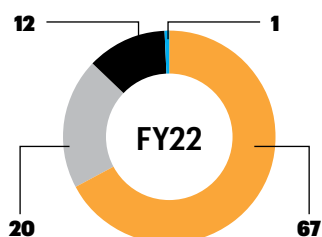
THE INDIA PLAN

- 1 As part of its localisation efforts, Amazon India will offer services in more languages
- 2 It is doubling down on its seller base, which is at 1.4 million today
- 3 For this, the thrust on digital will be a strategic advantage
- 4 It is also looking to increase the product portfolio, which is at 120 million today
- 5 It will continue to strengthen the infra back-end by adding more fulfilment centres

REVENUE ROSTER

➤ Amazon has created a multi-revenue business model in India

➤ It helps reduce dependency on any one area



- MARKETPLACE SERVICES
- OTHER MARKETPLACE-RELATED SERVICES*
- MARKETING SUPPORT
- ROYALTY REVENUES

NOTE: *PRIMARILY INCLUDES SALES OF ADVERTISING SERVICES; ALL FIGURES IN %
SOURCE: AMAZON SELLER SERVICES ANNUAL REPORT FOR FY23

N MID-NOVEMBER LAST

year, Manish Tiwary, Amazon India's Country Manager, made a presentation to the parent company's external board at its Seattle headquarters. Tiwary spoke not just about the opportunities in India but also about innovations on the customer and seller fronts and the vast talent pool. The board, which includes eminent names such as India-born Indra Nooyi, a former Chair and CEO of PepsiCo, looked pleased.

"There was palpable excitement," Tiwary tells *BT* at Amazon India's headquarters in Bengaluru. Turned out in a pair of jeans topped with a collared T-shirt and a blazer, he recalls how the discussion veered around, among other things, the work on Generative AI taking place out of India. "After Seattle, the largest talent pool for Amazon is in India," he says.

Amazon has grown rapidly since launching its e-commerce business in India in 2013, although it was not the first player to enter the market. Six or seven players occupied the space, including Flipkart, its main rival today, which had a six-year head start.

From revenues of ₹112 crore in FY13, Amazon closed FY23 with ₹22,198 crore but with a loss of ₹4,854 crore, which is not unusual given how it invests in its operations. A recent report by financial services and research firm JM Financial estimates Amazon India's gross merchandise value (GMV) was around \$18 billion in FY23, compared with Flipkart's \$20 billion (excluding Myntra, its fashion e-commerce business). Last June, Amazon committed to investing \$15 billion in India over the next seven years, bringing its total

investment across its businesses to \$26 billion.

Tiwary is clear that the e-commerce tale in India is still being written, and companies like Amazon "have barely scratched the surface". Penetration levels for e-commerce are at 1-2%, he reckons. ONDC or One Network for Digital Commerce, a not-for-profit company created by the government, pegs e-retail penetration to be only 4.3%, well below China's 25% or the UK's 23%.

Competition does exist, most notably from Flipkart (launched in 2007 but acquired by Walmart in 2018) and others, including Reliance's JioMart. But the headroom for growth is unlimited. Amazon would have been even more pleased had it bagged Kishore Biyani's Future Retail, a big player in offline retail, but it was outsmarted by Reliance. Its acquisition has been locked in courtroom battles for years, and the prospects of a speedy resolution appear to be bleak (*see box*).

BESPOKE EVERYTHING

Amazon attributes its growth here to its India-specific approach, among other things. Tiwary, who joined Amazon in mid-2016 after over two decades at Hindustan Unilever Ltd, points out that organised trade was small. "If you asked a seller for a catalogue, all you got was a stunned look!"

He keeps talking about the opportunities here and why Amazon is well-positioned for a specific reason. "Our DNA is around digital, and that applies to everything we do," says Tiwari.

The Covid-19 pandemic fast-tracked digital adoption across businesses, and Amazon was no exception. A presence across